

Orient Electric Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: ORIENTELEC · BSE: 541301 · CK Birla group · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Orient Electric makes and sells everyday electrical goods for Indian homes under one brand. Roughly seven rupees in ten come from **ECD — electrical consumer durables**, which means ceiling fans, table/pedestal/wall fans (the industry calls these **TPW**), air coolers, water heaters, irons and other small appliances. The other three rupees come from **Lighting & Switchgear**: LED bulbs and decorative light fittings for homes (*consumer luminaires*), street- and building-façade lighting projects for governments and builders (*professional* or B2B lighting), plus a young business in switches, switchgear (the safety trip-switches in your fuse box) and house wires. It sells through about 1,25,000 retail outlets, e-commerce, quick-commerce apps and exports. Plants at Faridabad, Kolkata, Noida and a new greenfield site at Hyderabad.

Measure	Value	What it means in plain words
Market cap	₹3,758 cr	What the whole company is worth on the market — a small-cap.
FY26 revenue	₹3,326 cr	Sales in the year to March 2026, up 7.5% on FY25. Slower than the 10% of FY25 and 11% of FY24.
FY26 net profit	₹96 cr	Profit after everything. Up from ₹83 cr, but still below the ₹127 cr the company earned back in FY22.
FY26 operating margin	6.9%	Seven paise of operating profit per rupee of sales. Up from 5.2% in FY24 — but a fifth of the 34% <i>return on capital</i> era is gone.
Q1 FY27 revenue	₹950 cr	Up 23.5% on a year ago. The best growth quarter in three years — off a washout summer base.
Q1 FY27 net profit	₹31.5 cr	Up 79.7%. Big-sounding, but the year-ago quarter earned only ₹18 cr.
Stock P/E	31.5×	You pay ₹31.5 for every ₹1 of annual profit. Rich for a company earning 14.2% on equity.
ROCE (FY26)	19.9%	Return on capital employed. Recovering from 14% in FY24 — but was 34% in FY22, before the Hyderabad plant was built.
Net cash (Jun 26)	₹133 cr	More cash than debt. Borrowings ₹93 cr against net worth of ₹760 cr — the balance sheet is not the problem.
FY26 cash from operations	₹110 cr	Only 64 paise of real cash per rupee of operating profit. Working-capital days crept from 23 to 28 during FY26.
Foreign investors	3.3%	Down from 7.1% in Dec 2024. Domestic funds bought what they sold (27.9% → 32.5%). Promoters flat at 38.3%.

2 Concall coverage

Quarter	Call month	Transcript read?
Q2 FY24	Nov 2023	Yes
Q3 FY24	Feb 2024	Yes
Q4 FY24	May 2024	Yes
Q1 FY25	Aug 2024	Yes — first call under new CEO R. S. Negi
Q2 FY25	Nov 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	May 2025	Yes
Q1 FY26	Aug 2025	Yes
Q2 FY26	Oct 2025	Yes
Q3 FY26	Jan 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	22 Jul 2026	Yes — latest call ★, read in full

Coverage, stated honestly. Screener lists **30 concall entries** for Orient Electric, from Aug 2019 to Jul 2026. Of those, **20 fall in the Jan 2022 – Jul 2026 window**. One of the 20 is a duplicate row dated May 2024 carrying no transcript link — we downloaded and opened the only document on it, and it is

the Q4 FY24 *investors' press release*, not a separate earnings call. So the window contains **19 real calls, and all 19 transcripts were downloaded and read** — the 12 listed above in depth, the seven earlier ones (Jan 2022 – Aug 2023) skimmed for the promised-versus-delivered thread in Section 4. **There is a genuine gap outside that window:** the ten oldest entries (Aug 2019 through Oct 2021) show the word "Transcript" as plain text with no link — Screener holds no transcript for any of them, so those ten calls are unread. They pre-date the current strategy and both the current CEO and CFO, so nothing in this report depends on them. For the last three years, coverage is complete.

★ Latest concall highlights — Q1 FY27 (call held 22 July 2026)

- **The strongest top line in years — but check the base.** Revenue ₹950 cr, up 23.5%. Profit after tax ₹31.5 cr, up 79.7%. Both look spectacular because the year-ago June quarter was a washout: a mild summer and record May rain held Q1 FY26 growth to 2%. Measured against Q1 FY25's ₹755 cr, the two-year growth is 25.8% — about **12% a year**, not 23.5%.
- **Gross margin fell to 29.8% — the weakest in at least three years.** That is 2.2 percentage points *below the floor* of management's own 32–34% guidance, and 3.3 points below the 33.1% peak of Q1 FY25. Copper, aluminium, freight and a sharp minimum-wage rise all hit at once. Orient took **six price increases in fans between December and June, totalling 15–16%**, and still could not hold the line.
- **So where did the margin improvement come from? Spreading fixed costs, not premium pricing.** Operating margin (EBITDA — operating profit before interest, tax and depreciation) rose to 7.0%, up 1.02 percentage points. Advertising fell from 5.5% to 4.5% of sales — the rupee spend was flat, the sales base was 23.5% bigger. Employee cost fell from 9.9% to 8.9% of sales the same way. Those two lines alone are worth about 2 points; they more than paid for the 2.8-point gross-margin loss. This is real operating leverage, but it is not the premiumisation story management has been selling for three years.
- **Premiumisation is landing on the mix.** Premium models are now **36% of domestic fan revenue**; BLDC fans (the energy-efficient brushless-motor type) grew 36% and are 27–30% of ceiling-fan sales; newly launched products were 30% of fan revenue. In lighting, high-value luminaires reached 60% of consumer-lighting sales, up 5 points.
- **The double-digit-margin promise was visibly hedged.** Asked directly where the "double-digit margins in 8 quarters" pledge stands, the CEO said Orient is "committed on our path to double digit" but added: "*if we will do double digit, it's then only about when we'll double digit given this.*" No date was restated. The ₹5,000 cr revenue milestone at a 14–15% annual growth rate was reaffirmed — against 7.5% actually delivered in FY26.

Business mix & capacity — Q1 FY27. Segment split: ECD ₹669 cr, up 22.7% — that is **70.4% of sales**; Lighting & Switchgear is the implied balance of ₹281 cr, up 25.4%, or **29.6%**. *Plain read: the non-fan half of the company is finally growing faster than the fan half — but only just. Across the full year the mix moved from 29.8% Lighting & Switchgear in FY25 to about 31% in FY26. Diversification is real and glacial: roughly one percentage point a year.* (The quarterly Lighting figure is derived by subtraction; Orient reports only the ECD number on the call.)

Premium share of fans: 36% of domestic fan revenue, up from 30% when the target was first set in Nov 2024. *Plain read: six points of progress in seven quarters against a stated ambition of 40–45%. Moving in the right direction, roughly two years behind where the ambition implied.*

BLDC share of ceiling fans: 27–30%, growing 36%. *Plain read: treat the level with caution. The same disclosure has been given as 25% (Nov 2024), 20% including IoT fans (Feb 2025), 30% (Oct 2025), 25% (May 2026) and 27–30% (Jul 2026) without the definition ever being restated. The growth rate is credible; the share is not comparable quarter to quarter.*

Consumer-lighting value mix: high-value luminaires 60% of sales, up 500 basis points year on year. *Plain read: genuine, and management claims this is at or above the best in the industry. It was 68% in the March quarter — the mix is seasonal, so compare year on year only.*

Capacity utilisation: not disclosed, and that is the point. Orient has never published a utilisation percentage for the Hyderabad greenfield plant (budgeted around ₹175 cr, commissioned in Q1 FY25, built mainly for TPW fans and export compliance). The most specific facts management has given in two years are that it added "a 40% enhancement from our existing capacity", that about half of TPW output came from there by Q4 FY25, and — in January 2026, unprompted — "*as we speak utilisation is low*". Fixed assets rose from ₹236 cr to ₹406–440 cr and annual depreciation from ₹59 cr to ₹77 cr to pay for it. *Plain read: the cost of the plant is fully in the profit and loss account; the promised gross-margin benefit is not, and there is no published number to track it by.*

Dealer/channel inventory: elevated through Q3 and Q4 FY26 as the trade destocked non-compliant fans ahead of the new BEE (Bureau of Energy Efficiency, the government's star-rating scheme) norms on 1 Jan 2026. Management says Q1 FY27 was clean — "no inventory buildup", with primary sales roughly equal to consumer offtake. *Plain read: the quarter's growth appears to be real demand rather than stock pushed onto dealers, on management's word; there is no independent number.*

Advertising: 4.5% of sales, stated policy 4–5%. **Market share in fans:** claimed as gained in almost every call, but **quantified exactly once in three years** — "60 basis points" year-to-date in the Oct 2025 call. A direct request for detail in May 2026 was answered about pricing instead.

★ 3. Earning-trigger thesis

Orient's pitch has three legs: **premiumisation** lifts gross margin, **diversification** into lighting, switchgear and wires reduces dependence on fans, and **operating leverage** from the Hyderabad plant plus the direct-to-market distribution build converts that into double-digit operating margins. Two of the three are visibly working. **The first one is not.** Premium mix has gone from 30% to 36% of fan revenue and luminaires from 55% to 60% of consumer lighting — and over exactly the same period gross margin has fallen from 33.1% to 29.8%. Mix improved; margin did the opposite. What is actually driving the profit recovery is the third leg working on its own: a fixed cost base held roughly flat in rupees while revenue compounds. That is a genuine trigger — operating profit rose 12.4% on 7.5% more sales in FY26, and 45% on 23.5% more sales in Q1 FY27 — but it is a shallower and more finite one than the story being told, because you can only dilute advertising and salaries over a growing base for so long before gross margin has to start doing the work.

Trigger	What management said	Evidence so far	Horizon	Strength
Premiumisation lifts gross margin	"Premiumisation is the cornerstone of our growth strategy"; gross margin will sit in the 32–34% band; premium consumers are "more inelastic to price."	Mix delivered: premium fans 30%→36%, BLDC +36%, luminaires 60%. Margin did not: 33.1% (Q1 FY25) → 32.6% → 31.5% → 29.8% → 31.0% → 29.8% . Below the guided band in three of the last four quarters.	2–3 yrs	Weak The mix moved; the margin it was supposed to defend went backwards.
Diversification into Lighting, Switchgear & Wires	"Lighting and Switchgear remains a structural growth engine"; a "second pillar apart from fans."	Real. This segment grew 18.6%, 7.1%, 16% and 25.4% across the last four quarters and is now ~31% of sales versus 29.8% a year ago. Wires more than tripled; switches and switchgear grew double digits — but off a base so small the company will not disclose it.	3–5 yrs	Strong on growth The most convincing part of the story. Slow to move the mix.
Operating leverage → double-digit EBITDA	"Committed to our path to double-digit margins"; originally "the next 7 to 8 quarters" (Apr 2025).	Operating margin: 5.2% (FY24) → 6.6% (FY25) → 6.9% (FY26) → 7.0% (Q1 FY27). Genuinely rising three years running. But the last full year added only 30 basis points. The Q1 gain came from advertising and wages diluting, not from gross margin.	2+ yrs, slipping	Moderate Direction right, pace far below what was promised.
BEE star-rating ratcheting (1 Jan 2026)	"A structural catalyst for accelerated BLDC adoption"; Orient's portfolio was already "spiced well" so it needed less rework than rivals.	So far the cost arrived before the benefit: it triggered trade destocking, hit Q3 FY26 revenue and helped push gross margin to 29.8%. BLDC growth actually <i>slowed</i> from 50%+ (FY26 first half) to 36% in Q1 FY27.	1–3 yrs	Unproven Plausible thesis, no supporting evidence yet.
Hyderabad plant absorption	Jan 2026: "this summer would be a full year for us to start leveraging the Hyderabad plant and have the impact on our gross margins."	The first full summer has now happened — and gross margin fell to 29.8%. Utilisation still not disclosed; last described as "low". Depreciation is up ₹18 cr a year versus FY24 regardless.	1–2 yrs	Weak The one quarter that was meant to prove it did not.
Direct-to-market (DTM) distribution	Cut out master distributors, sell direct: 11 states plus Pune converted; +3,600 retailers added in Q1 FY27 alone; direct service in 18 cities.	Consistently executed and consistently ahead of the master-distributor markets on growth. Fans market share gain of 60 basis points is the only hard proof offered in three years.	Ongoing	Strong on execution Kept every operational promise; under-measured on outcome.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY23 (Feb 24)	The first BEE star-rating switch was handled cleanly — all non-rated fan stock sold, 400+ SKUs certified; trade would "normalise as soon as consumer offtake starts in February and March."	It did not. Q4 FY23 revenue fell 13% year on year and operating profit fell 42%. The company then spent two full years digging out of the resulting margin hole.	Missed

Q1 FY25 (Aug 24)	New CEO's framing: "the first sign has to come in to gross margin... once we start getting a better leverage of the cost structure, we will start seeing it in the EBIT."	Half kept. Gross margin did lift immediately, peaking at 33.1% that very quarter. It then reversed for eight quarters. Operating margin, the second half, did improve — but from the cost side, not the gross-margin side he named.	Partly
Q2 FY25 (Nov 24)	Premium fans are 30% of revenue, "we aim to increase it to about 40% to 45%."	36% by Q1 FY27. Real progress, roughly half the distance covered in seven quarters, no date ever attached to the target.	On track, slow
Q3 FY25 (Jan 25)	Three things at once: gross margin band raised from 31–33% to "32% to 34%"; "in 4 quarters we should definitely see some high single digits operating EBITDA margins"; and a three-year plan "will be shared with all of you by April, May."	The band was raised immediately before gross margin broke below <i>both</i> bands. High-single-digit operating margin was hit in exactly one quarter (8.2%, Q4 FY26); the full year came in at 6.9%. And no three-year plan appears in the April 2025 transcript — the ₹5,000 cr / 14–15% ambition surfaces on the record only in July 2026 , fifteen months late.	Missed
Q4 FY25 (Apr 25)	"In the next 7 to 8 quarters, we will touch the double-digit EBITDA margins."	Five of the eight quarters are gone. Operating margin is 7.0%. Reaching 10% in the remaining three quarters would require more improvement than the last three years combined delivered.	Slipping
Q1 FY26 (Aug 25)	"We will continue to spend close to 4% to 5% of our revenue" on brand building.	Spent 5.5% that quarter and 4.5% a year later. In July 2026 the stated policy had quietly become "we've always maintained that we will be in this range of 4.4% to 4.5%." The rupee spend is genuinely flat; the framing shifted to fit the outcome.	Partly
Q2 FY26 (Oct 25)	New BEE norms from 1 Jan 2026 mean "premium and energy-efficient categories are poised for accelerated adoption."	The first two quarters after the switch brought destocking, a gross-margin hit and slower BLDC growth. Too early to call wrong, but it is not yet right.	Too early
Q4 FY26 (May 26)	Asked point-blank why double-digit margins had not arrived: "from a structural perspective, we are trending towards a double-digit margin." Earlier, in Jan 2026: "if I have to shift my goalpost on double digit, I'll come back to you."	He did not come back with a new date. In July 2026 the commitment survives but the timeline has been dropped entirely. That is a goalpost removed rather than moved — which is harder for an investor to hold anyone to.	Drift
Q1 FY27 (Jul 26)	Six price rises taken in fans, "slightly ahead of the industry"; still "committed to come back closer to a 32% to 34% gross margin."	Delivered 29.8%. The pass-through claim is credible — peers' operating margins fell while Orient's rose — but the gross-margin guidance has now been missed for three of the last four quarters and is being repeated unchanged.	Too early / at risk

Narrative drift. The *strategy* has been remarkably stable, and that deserves saying plainly: premiumisation, lighting and emerging categories as a second pillar, direct-to-market distribution, and the Sanchay cost programme have been the same four pillars in every call since 2022 — surviving a full change of leadership (Rakesh Khanna, then Deepak Khetrpal as Vice-Chairman & MD, then Ravindra Singh Negi from mid-2024) and a change of CFO. There has been no pivot into unrelated ventures, no abandoned segment, no reinvented story. The operational promises were largely kept: the Hyderabad plant was built, eleven states plus Pune were converted to direct distribution, direct service was extended, and Sanchay delivered ₹75 cr of savings in FY25 and ₹68 cr in FY26 as claimed. **The drift is entirely in the numbers pinned to the story.** The double-digit-margin date has moved from "two years" (2024) to "7 to 8 quarters" (April 2025) to "trending towards" (May 2026) to no date at all (July 2026). The gross-margin band was raised from 31–33% to 32–34% in January 2025, immediately before actual gross margin fell below both and stayed there. A promised three-year plan arrived fifteen months late and only in answer to a question. And the two metrics that would settle whether premiumisation is actually winning — market share in fans, and Hyderabad's utilisation — have been quantified once and never, respectively. Management is honest about bad quarters and answers hard questions directly. It is simply not reliable on forecasts.

Durable earning trigger? → MAYBE — real, but not the one being advertised

Something is genuinely working. Operating profit has risen three years running — 5.2% of sales in FY24, 6.6% in FY25, 6.9% in FY26, 7.0% in the June quarter — and it rose 12.4% in FY26 on only 7.5% more sales, then 45% in Q1 FY27 on 23.5% more sales. The Lighting & Switchgear arm has compounded at 16–25% for four straight quarters and now supplies nearly a third of revenue. Wires and switchgear are scaling from nothing. The balance sheet is net cash, working capital is tight, and the direct-distribution build has been executed exactly as promised. That is a durable trigger. **But it is not the premiumisation trigger.** Over the two years in which premium fans went from 30% to 36% of revenue, gross margin fell 3.3 percentage points to a three-year low of 29.8%, more than two points below management's own guided floor. The entire profit improvement this quarter came from advertising and wages being diluted across a bigger sales base — useful, repeatable for a while, but finite. Three further things keep this from a Yes: the Hyderabad plant that was supposed to supply the next leg of margin has never disclosed a utilisation number and was described as "low" seven months ago; revenue has compounded at only 8.8% a year over two years against a stated 14–15% ambition; and at 31.5 times earnings for a 14.2% return on equity, the market is already paying for the double-digit margin that has not arrived. **What would settle it:** gross margin back above 32% for two consecutive quarters, and a published Hyderabad utilisation figure.

Management consistent? → MAYBE — consistent on strategy, unreliable on numbers

Split cleanly down the middle. On **what they control**, the record is good and should not be discounted: the same four strategic pillars for four years through two CEO changes, the Hyderabad plant built, eleven states plus Pune converted to direct distribution, direct service extended to 18 cities, and the Sanchay cost programme delivering the ₹75 cr and ₹68 cr it said it would. They also do not hide: they announced the "utilisation is low" admission themselves, they named the gross-margin miss before analysts raised it, and they answer margin questions head-on rather than deflecting. On **what they forecast**, the record is poor and repetitive. The double-digit operating margin has been promised four separate times since 2024 and has now quietly lost its deadline altogether. The gross-margin band was raised in January 2025 and then missed in three of the next six quarters, and is still being repeated unchanged. A promised three-year plan showed up fifteen months late. Fans market share — the one number that would prove premiumisation is winning share and not just mix — has been quantified once in three years, and a direct request for it in May 2026 was answered with a discussion of pricing. That is not deception, but it is a pattern of setting targets faster than the business can meet them and then letting the dates dissolve. **Until a stated margin target is either hit or explicitly reset with a new date, this cannot be upgraded.**

Sources: Nineteen Orient Electric Ltd earnings-call transcripts filed with BSE/NSE, Jan 2022 (Q3 FY22) through Q1 FY27 (call held 22 Jul 2026, transcript filed 28 Jul 2026), sourced from Screener.in — the twelve most recent read in depth, the latest read in full. Screener.in financial history (profit & loss, quarterly results, balance sheet, cash flow, ratios, shareholding). The Screener concall list was independently re-checked against the raw company page to confirm which rows carry downloadable transcripts.

A note on the numbers: segment revenue for Lighting & Switchgear is derived by subtracting the ECD figure management quotes from total revenue, because Orient discloses only the ECD number verbally on the call. Gross-margin, premium-mix and BLDC-share figures are management's own, as stated on each call; where a definition appears to have changed between calls, this report says so rather than smoothing it. Management quotes working capital at 25 days on its own definition; Screener's ratio table shows 28 days for FY26 on a standard definition. Both are stated where used.